

REC Ltd

RECLTD

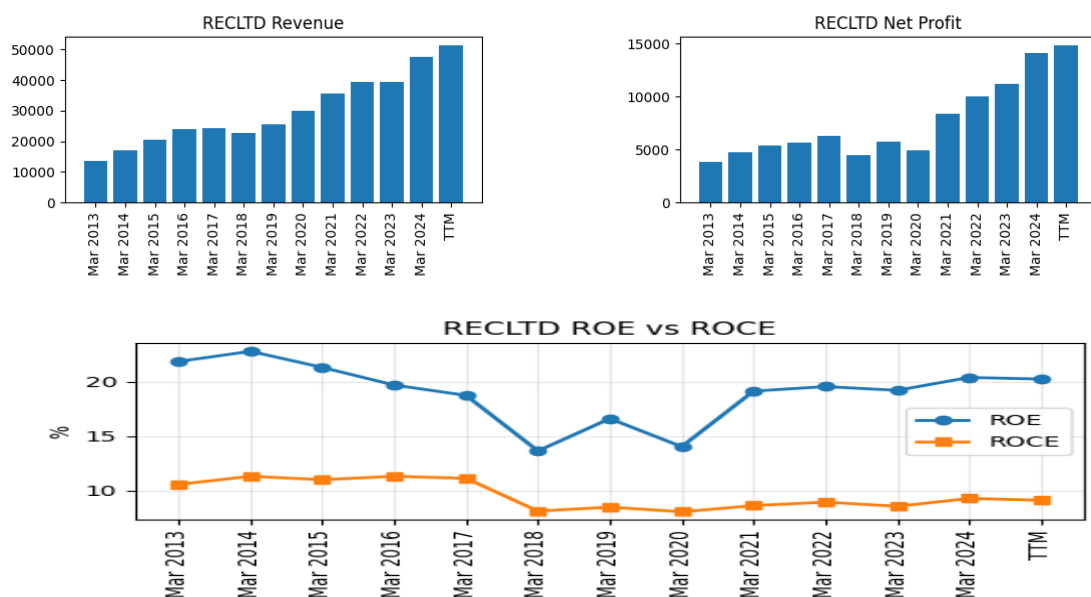
Key Financial Metrics

ROE 20.25%	ROCE 9.13%	Debt / Equity 6.58
Revenue CAGR 12.02%	FCF Conversion -408.08%	Quality Score 22.55

Company Profile

Company	REC Ltd
Sector	Financials
Industry	Speciality Finance
Market Cap (■ Cr)	291,917.42
P/E Ratio	31.49
P/B Ratio	4.59
Dividend Yield	2.18%

Financial Performance



AI Investment Summary

REC Ltd currently faces multiple financial challenges that increase investment risk. It currently has healthy profitability, average capital efficiency, steady revenue growth, accrual risk cash-flow quality and elevated leverage. The overall financial quality score is 22.6/100. Key strengths include: Profits are compounding faster than revenue, indicating improving operating leverage and scalability.; Operating profit margin above 25% indicates strong pricing power and cost discipline.. Key risks include: High leverage relative to equity can restrict future capital flexibility.; Return on capital employed below 10% indicates weak capital efficiency.; Low interest coverage indicates potential difficulty servicing debt if earnings fall.. Investment recommendation: Avoid. Overall, the company appears to be financially weak with elevated investment risk.

Pros & Cons

Pros	Cons
• Profits are compounding faster than revenue, indicating improving operating leverage and scalability. • Operating profit margin above 25% indicates strong pricing power and cost discipline.	• High leverage relative to equity can restrict future capital flexibility. • Return on capital employed below 10% indicates weak capital efficiency. • Low interest coverage indicates potential difficulty servicing debt if earnings fall. • Two consecutive years of negative free cash flow point to weak cash generation.

Investment Recommendation

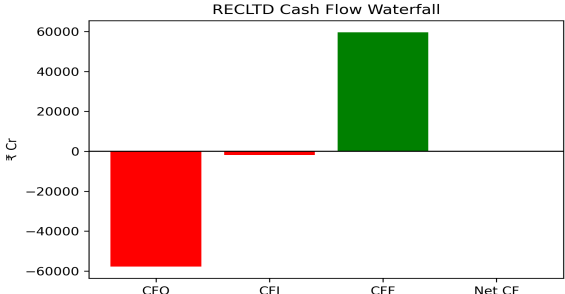
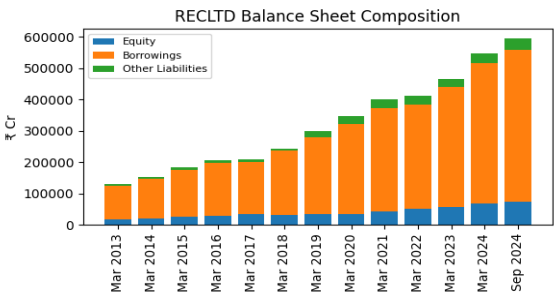
Recommendation	AVOID
Risk Level	VERY HIGH
Confidence	LOW

Recommendation Reason:

The recommendation is based on an adjusted financial score of 22.6/100, supported by 2 identified strengths, 4 identified risks, and cash-flow quality rated as Accrual Risk.

Adjusted Score: 22.6

Balance Sheet & Cash Flow



Financial Health

Profitability	Strong
Growth	Strong

Cash Flow	Weak
Leverage	Weak
Valuation	Fair

Capital Allocation

Growth Funded by Debt